



Right, or *just lucky?*

10 questions to ask before you lock next year's budget.

INSIGHTS, HINDSIGHTS AND FORESIGHTS

Kate Burda & Co. | kateburda.com

BEFORE YOU READ

Approved every year. Rarely questioned.

This paper comes from years of sitting in budget reviews. For 28 years, across industries, we've watched leadership teams approve the plan for the year ahead.

The same thing keeps showing up, and it isn't a shortage of effort or a shortage of data. **Most plans are approved without anyone being able to say where the growth really comes from.**

Budget plans like that get signed off every year. Here's how to make sure yours isn't one of them.

THE SHORT VERSION

- O1 Last year plus a percentage isn't a plan.** It's a guess with a spreadsheet.
 - O2 A story isn't a strategy.** Most plans explain last year. Few explain next year.
 - O3 Activity isn't performance.** If every tactic gets done and the number doesn't move, the tactics didn't work.
 - O4 More data hasn't meant better decisions.** Most tools tell you what happened. Few tell you what to do next.
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Then one hindsight, three foresights, and ten questions to take into your budget review.

Four patterns, every budget season.

01

Last year plus a percentage isn't a plan.

The most common growth assumption we see is last year's number, plus a percentage. Segment by segment, account by account.

In one business we worked with, the budget did exactly that for a key revenue segment. The answers to "why" were honest: *"This is how we've always done it."* *"We don't have data that gives us what we're looking for."* The pricing for that segment had already been negotiated. The budgeting system just didn't connect to it.

\$1.2 million

overstated in one segment, before the year even started

The takeaway: a growth percentage without a reason behind it isn't a forecast. It's a hope, and it's already in the budget.

02

A story isn't a strategy.

Ask a team for their segment strategy and you'll often get a history lesson: what happened last year, why, who left, what the market did. That's a story. A strategy is the construct of how the team expects to reach the goal, specific enough that you could check it.

5%

of marketing initiatives focused on the most valuable customers

Kate Burda & Co. client data.

90%

of tactics not aligned to the overall strategy

The takeaway: that's not a talent problem. It's a planning problem. If the plan can't say how the number gets hit, it can't be held accountable when it isn't.

03

Activity isn't performance.

SMART goals entered business planning in 1981, and teams still feel safe building plans on them. But a goal can be specific, measurable, achievable, relevant and time-bound, and still have nothing to do with revenue.

Tactics are only activity. If a team completes every tactic on the list and the financial performance doesn't change, the tactics didn't work. Completing them isn't performance. Revenue that moves because of a strategy is.

The takeaway: reward impact, not activity. Otherwise you'll get plenty of activity.

04

More data hasn't meant better decisions.

Leadership teams have more dashboards, tools and reports than ever. Budget season usually adds another: a new platform, a new sales intelligence tool, a new AI promising to tell your team who to call.

Most of it tells you what already happened. We've watched teams run their best intelligence tools after the sale closed, to explain the result, not to decide the next move. Five departments bring five versions of last year to the planning table, and the plan gets negotiated instead of built.

The takeaway: the question isn't whether you have enough data. It's whether the data you're budgeting on tells you what to do next.

These four are connected. Without data that points forward, teams roll last year forward. Without a strategy, they fill the plan with activity. And the plan gets approved, because it looks like every other plan.



Right, or *just lucky?*

An asset manager overseeing many hotels reported a **16:1 return on ad spend** and called it a win. The campaign was aimed at their least valuable customers, where the return needed to clear **22:1** just to break even.

16:1

reported, and called a win

22:1

needed to break even on that
segment

8:1

would have cleared the bar with a
more valuable customer

Nothing in their systems was broken. Every number was correct. It was measured against the wrong customer, so a good result and a bad decision looked exactly the same.

A lower return would have been the better outcome.
That's the question worth asking about every line in next year's budget. Which of last year's results were right, and which were just lucky?

What the best do differently.

I.

They plan around their most profitable customers.

The best teams know their most profitable segments, accounts and customers, and they plan around them. Not around the categories they've always reported on. They also understand what those customers are trying to achieve, not just what they buy. The offer that wins is often about the customer's business, not your product.

II.

They link the goal, the strategy and the tactics.

The critical link runs one direction: financial goal, then segment strategy, then the tactics to achieve it. Each answers to the one above it. An effective strategy reads more like a formula than a story. You can check it, coach to it, and at year end you'll know whether it worked, and why.

III.

They challenge the status quo, even when it's comfortable.

In one plan we reviewed, a large share of the marketing budget went to the single most expensive channel available. The person running it was well respected, the buy was easy, and nobody wanted to disturb a good relationship. Every reason was about comfort. None was about revenue. The plan was approved anyway.

A STRATEGY THAT READS LIKE A FORMULA

We're growing revenue **14%**. Five accounts get us there. In the first, we grow **10%**, from \$200K to \$220K. In the second, we grow our share from **20% to 68%**. Here are the tactics behind each.

The best teams ask the uncomfortable question in the room, before the budget locks. Not in the post-mortem.

10 questions worth asking in the room.

THE TOP LINE

- 1 Where does next year's growth come from, segment by segment, and what's the strategy behind each number?
 - 2 Which of these numbers are last year plus a percentage, and which have a reason behind them?
 - 3 Are we planning around our most profitable customers, or around the categories we've always reported on?
 - 4 How are we re-mixing the business for next year, and do our teams have the skills to make that shift?
Shifting the mix means changing behavior, and most plans fall short there.
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SALES

- 5 How deep are we inside our key accounts? How many relationships do we have beyond procurement?
 - 6 Where is the economy growing, and do we have a plan to be there?
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MARKETING

- 7 What is each marketing dollar meant to move, and for which customers?
 - 8 Is our best return aimed at our most valuable customers, or just our easiest ones?
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THE WHOLE PLAN

- 9 Is the data we're budgeting on telling us what happened, or what to do next?
 - 10 If every tactic in this plan gets done and the number doesn't move, what will we have learned?
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THE TAKEAWAY

Strategy isn't something. It's everything.

Most commercial teams are planning the way they have since the 1970s, and expecting new results. That's like yelling at a rotary phone and asking Siri for directions to the grocery store. It won't work.

Ask for a new approach and the common refrain is, "We're going back to basics." Usually because nobody is sure where to go next. There are almost no efficiencies left to squeeze out of operations. The growth has to come from how your teams create demand, who they build it with, and whether the plan behind it holds up. Status quo isn't an option.

"You do not rise to the level of your goals. You fall to the level of your system."

James Clear, Atomic Habits

We take the noise, the disruption and the complexity, and bring you a clear, simple path for your team to get results.

Bringing simplicity to your complexity.

One question before you lock next
year's budget.

20 minutes with Kate · kateburda.com

ABOUT KATE BURDA & CO.

Kate Burda & Co. helps leaders turn strategy into top-line revenue. For 28 years, Kate has worked with leadership teams across hospitality, pharma and life sciences, technology and enterprise services. Every engagement starts with the Revenue Reveal: a senior-led look at what really drove last year, and where next year's growth comes from.